

Orient Overseas Int'l Ltd

Results weaker than our below-consensus expectations; negative read-through for other liners

OOIL turned loss-making in 1H16 due to its significantly weaker freight rates as well as its higher than expected depreciation and other operating expenses. Given that OOIL's profitability has consistently beat the sector throughout industry cycles, its weaker than expected results is a negative read-through for the other liners' upcoming results and they are likely to report even weaker financial performance. OOIL is still our preferred pick in this challenging sector given its good cost and revenue management and near trough valuations which we view as attractive and should provide significant long-term upside potential when the industry recovers.

- **Turned loss-making in 1H16, weaker than our below-consensus expectations:** 1H16 net loss was US\$57MM (first net loss since 1H13) vs net profit of US\$239MM in 1H15 and US\$45MM in 2H15. Excluding one-offs, 1H16 core loss was US\$92MM vs core profit of US\$202MM in 1H15 and US\$35MM in 2H15. *OOIL's recurring loss margin was c.3.6% and net loss margin was 2.2% in 1H16.* Annualized recurring ROE was negative c.3.9%.
- **Key 1H16 highlights - Share of revenue from all trade lanes rose except on Transpacific trade:** Revenue fell 16% y/y, mainly driven by the 21% fall in average freight rate to US\$778/TEU as volume rose 5% y/y to 2.89MM TEUs. **1H16 shipping revenue breakdown by route region:** Transpacific 36% (35% in 1H15), Intra-Asia/Aus 37% (36%), Asia-Europe 16% (18%), Transatlantic 12% (11%). Logistics revenue fell c.9% y/y and c.22% h/h to c.US\$297MM in 1H16 contributing c.12% to 1H16 Group revenue. Operating costs fell 8% y/y, 9% h/h in 1H16, helped by the 43% y/y fall in spot bunker fuel price in 1H16. However, the liners passed on the fuel cost savings to their customers through lower freight rates. **Cost per TEU fell c.12% y/y, c.11% h/h.** Operating loss was US\$19MM vs op profit of US\$271MM in 1H15. EBIT margin was -0.7%.
- **Stronger financial position vs peers:** ND/E rose to c.48% at the end of June-16 vs. 43% in 2015 but still much stronger than peers' average of c.144%. No interim DPS was declared. June-16 BV/shr fell 3% y/y, 2% h/h to US\$7.49.
- **Outlook still weak near term:** 1) Supply growth is expected to moderate but global trade growth remains lackluster. 2) Superior yield and cost management will differentiate winners like OOIL from the losers. 3) Industry M&A, the formation of OCEAN (which OOIL has joined) and THE alliances and the expansion of 2M will help the industry deploy capacity more rationally.

Orient Overseas Int'l Ltd (Reuters: 0316.HK, Bloomberg: 316 HK)

\$ in mn, year-end Dec	FY14A	FY15A	FY16E	FY17E	FY18E
Revenue (\$ mn)	6,522	5,953	5,188	5,801	6,468
Net Profit (\$ mn)	271	284	(39)	111	232
EPS (\$)	0.43	0.45	(0.06)	0.18	0.37
DPS (\$)	0.11	0.11	0.00	0.04	0.09
Revenue growth (%)	4.7%	(8.7%)	(12.9%)	11.8%	11.5%
EPS growth (%)	475.2%	4.9%	NM	NM	108.6%
ROCE	3.6%	3.7%	0.4%	1.9%	3.0%
ROE	5.9%	6.0%	(0.8%)	2.3%	4.7%
P/E (x)	8.3	7.9	NM	20.2	9.7
P/BV (x)	0.5	0.5	0.5	0.5	0.4
EV/EBITDA (x)	6.1	6.4	11.7	9.3	7.0
Dividend Yield	3.0%	3.2%	0.0%	1.2%	2.6%

Source: Company data, Bloomberg, J.P. Morgan estimates.

Overweight

0316.HK, 316 HK

Price: HK\$27.85

▼ Price Target: HK\$32.00
Previous: HK\$35.00

Hong Kong

Transportation, Logistics,
Aerospace and Aircraft Leasing

Corrine Png ^{AC}

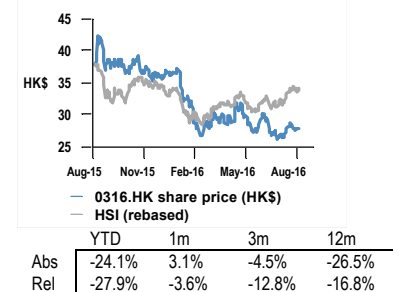
(65) 6882-1514

corrine.ht.png@jpmorgan.com

Bloomberg JPMA PNG <GO>

J.P. Morgan Securities (Asia Pacific) Limited

Price Performance



Company Data

Shares O/S (mn)	626
Market Cap (\$ mn)	2,247
Market Cap (\$ mn)	2,247
Price (HK\$)	27.85
Date Of Price	05 Aug 16
Free Float(%)	31.2%
3M - Avg daily vol (mn)	0.39
3M - Avg daily val (HK\$ mn)	10.86
3M - Avg daily val (\$ mn)	1.4
HSI	22,146.09
Exchange Rate	7.76
Price Target End Date	30-Jun-17

See page 11 for analyst certification and important disclosures, including non-US analyst disclosures.

J.P. Morgan does and seeks to do business with companies covered in its research reports. As a result, investors should be aware that the firm may have a conflict of interest that could affect the objectivity of this report. Investors should consider this report as only a single factor in making their investment decision.

Key catalysts for the stock price:

Pick up in container shipping volumes, industry's capacity rationalization plans could increase the success of future rate hike plans, new vessels have lower unit cost structure, industry alliances/M&A.

Upside risks to our view:

Lower fuel prices, global demand stronger than expected, liners succeed in raising freight rates.

Downside risks to our view:

Industry loses capacity discipline, global container shipping demand weakens further, freight rates decline, rising fuel prices and limited pass-through, prolonged industry oversupply.

Key financial metrics

	FY15A	FY16E	FY17E	FY18E
Revenues (US\$ MM)	5,953	5,188	5,801	6,468
Revenue growth (%)	-8.7%	-12.9%	11.8%	11.5%
EBITDA (US\$ MM)	673	431	629	798
EBITDA margin (%)	11.3%	8.3%	10.8%	12.3%
Tax rate (%)	8%	-30%	5%	5%
Net profit (US\$ MM)	284	(39)	111	232
EPS (US\$)	0.45	-0.06	0.18	0.37
EPS growth (%)	4.9%	nm	nm	108.6%
DPS (US\$)	0.11	0.00	0.04	0.09
BVPS (US\$)	7.67	7.55	7.70	8.00
Operating cash flow (US\$ MM)	458	366	524	676
Free cash flow (US\$ MM)	184	(662)	(803)	299
Interest cover (x)	11	5	7	7
Net margin (%)	4.8%	-0.7%	1.9%	3.6%
Sales/assets (X)	0.6	0.5	0.5	0.6
Debt/equity (%)	85.5%	93.2%	118.3%	119.8%
Net debt/equity (%)	43.5%	58.9%	74.7%	66.8%
ROE (%)	6.0%	-0.8%	2.3%	4.7%

Key model assumptions

	FY15A	FY16E	FY17E	FY18E
Container volume growth	0%	6%	6%	6%
Average freight rate growth	-10%	-18%	5%	5%
Bunker fuel price (US\$/ton)	333	227	273	321

Source: Company and J.P. Morgan estimates.

Sensitivity analysis

	EBITDA FY17E	EPS FY17E
Sensitivity to 1% chg in		
Container volume growth	+/-1%	+/-8%
Average freight rate growth	+/-7%	+/-38%
Bunker fuel price (US\$/ton)	-/+0.4%	-/+2.2%

Source: J.P. Morgan estimates. Large earnings sensitivity due to small profit base.

Comparative metrics

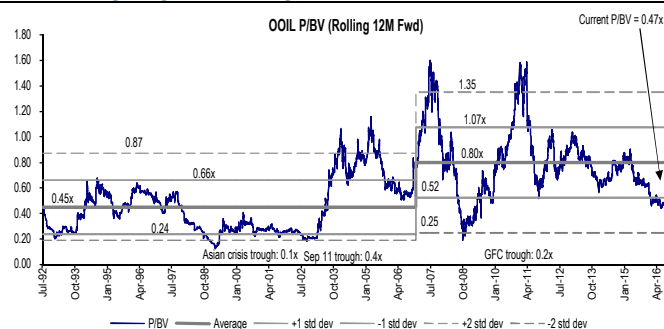
	CMP LC	Mkt Cap \$Mn	P/E (x)		P/BV (x)		ROE (%)		YTD Stock perf.
			FY16E	FY17E	FY16E	FY17E	FY16E	FY17E	
China Cosco	2.70	6,784	nm	nm	1.2	1.2	(18.9)	(2.3)	(23.0%)
OOIL	27.85	2,247	nm	20.2	0.5	0.5	(0.8)	2.3	(24.1%)
Sector average			27.7	13.6	0.9	0.9	(8.3)	(2.3)	(18.8%)

Source: Bloomberg, J.P. Morgan estimates. Prices are as of 5th August, 2016. Forecasts for non-covered (NC) stocks are based on consensus estimates to calculate sector average.

Valuation and price target basis

Our Jun-17 price target of HK\$32 is based on 0.5x P/B, 35% below OOIL's historical average valuation as the industry fundamentals remain challenging.

P/BV Trading Range Since Listing



Source: Bloomberg, Company and J.P. Morgan estimates.

JPMe change in estimates and vs Consensus estimates

EPS (US cents)	FY16E	FY17E
JPMe old	35	37
JPMe new	(6)	18
% chg	nm	-51%
Consensus	29	34

Source: Bloomberg, J.P. Morgan estimates.

1H16 Results Review

Turned loss-making in 1H16 given sharply lower freight rates and higher than expected depreciation and other operating expenses – weaker than our below consensus expectations

OOIL turned loss-making in 1H16, reporting a net loss of US\$57MM (first net loss since 1H13) compared to net profit of US\$239MM in 1H15 and US\$45MM in 2H15. Excluding one-offs (fair value profit on Wall Street Plaza of US\$10MM and investment income from Hui Xian of US\$25MM), 1H16 core loss was US\$92MM compared to core profit of US\$202MM in 1H15 and US\$35MM in 2H15. OOIL's recurring loss margin was c.3.6% and net loss margin was 2.2% in 1H16. Annualized recurring ROE was negative c.3.9%.

Key 1H16 highlights

- **Revenue fell 16% y/y.** This was mainly driven by the 21% fall in average freight rate to US\$778/TEU while shipping volume rose 5% y/y to 2.89MM TEUs.
- **Share of revenue from all trade lanes rose except for Transpacific trade lane.** 1H16 shipping revenue breakdown by route region: Transpacific 36% (35% in 1H15), Intra-Asia/Aus 37% (36%), Asia-Europe 16% (18%), Transatlantic 12% (11%).
- **OOIL's logistics business fell y/y, h/h** – we estimate revenue fell c.9% y/y and c.22% h/h to c.US\$297MM in 1H16, contributing c.12% to 1H16 Group revenue.
- **Operating costs fell 8% y/y, 9% h/h in 1H16,** helped by the 43% y/y fall in spot bunker fuel price in 1H16. However, the liners passed on the fuel cost savings to their customers through lower freight rates. Cost per TEU fell c.12% y/y, c.11% h/h.
- **Consequently, OOIL reported operating loss of US\$19MM** versus operating profit of US\$271MM in 1H15. EBIT margin was -0.7%, 9.6ppt lower y/y and 3.6ppts lower h/h.

Financial leverage rose but still much stronger than sector peers

Net debt-equity rose to c.48% at the end of June-16 vs. 43% in 2015 but still much stronger than peers' average of c.144%. No interim DPS was declared. June-16 BV/shr fell 3% y/y, 2% h/h to US\$7.49.

Fleet update

No newbuild vessels were delivered in 1H16. However, OOIL has placed an order for six 20K TEU vessels in March 2015 scheduled for delivery in 2017.

Update on OOIL's property investments

Wall Street Plaza's assessed market value was revised upwards to US\$210MM at the end of June, 2016. After offsetting a total of US\$0.3MM improvement works on the building in 1H16, the net fair value gains for 1H16 was US\$9.7MM. OOIL also received a cash dividend and dividend in specie of US\$22.2MM from Hui Xian Holdings and a distribution of US\$3.0MM from Hui Xian REIT.

Operating outlook remains challenging for 2H16 as demand growth continues to lag supply growth

Management commented that "looking ahead, notwithstanding the fact that there have been some tonnage withdrawals and pockets of volume growth in selected trade

lanes, if deployed capacity continues to be substantially in excess of demand, the second half of 2016 will be challenging and difficult.

The industry continues to face a supply and demand imbalance. While the orderbook as a percentage of existing fleet is anticipated to drop to 6.7% and 5.5% respectively in 2017 and 2018, the challenge for the next half decade is on the demand side. The world economy seems uninspiring at best. The US may have passed its most difficult period in this cycle, and China will likely avoid a hard landing. Even if Europe finds its footing in the aftermath of Brexit, the world may very well need to adjust to a “new normal” where unexciting growth and a low interest environment become the norm, at least for a half decade. In the meantime, the polarisation of domestic politics, the rise of populism, and the tendency towards “turning inwards” for many nations may also translate into a slow down in the velocity of globalization.

In this difficult environment, it is critical for carriers to focus on ensuring the ability to deliver superior service and the most cost effective way possible. (OOIL's) new alliance platform with like-minded partners, (its) newbuilding vessels which will be deployed in 2017, (its) investment in information technology as a tool to transform decision making, and (its) port facility redevelopment project in Long Beach, California are all critical parts of our effort to further (its) efficiency gains, enhance (its) overall competitiveness, and protect (its) ability to deliver industry-leading operating margins. The Group balance sheet remains one of the strongest in the industry, and is an important element in (its) ability to retain flexibility and initiative. OOIL) continue to be deliberate in (its) efforts to balance the need for a strong and liquid balance sheet, necessary in a capital intensive business, with an industry-competitive shareholder return.

The first half of 2016 was disappointing for OOIL. (Management) expect continued challenges given the global landscape. However, (OOIL) remain confident that (its) prudent and deliberate management approach will lead the Group through the challenging times. (Its) customer base remains solid, and (its) business operations continue to benefit from (its) focus on cost and on efficiency, helped enormously by (its) ongoing investment in information technology”.

Lowering estimates and price target

We have revised down our FY16-18E forecasts, mainly to factor in higher than expected depreciation and other operating expenses. Consequently, we have trimmed our Jun-17 price target to HK\$32 (from HK\$35) which is based on 0.5x P/B, 35% below OOIL's historical average valuation as the industry fundamentals remain challenging.

2015 was a challenging year for liners with all 13 rate hikes meeting limited success. Newbuild vessel deliveries are expected to moderate in 2016, implying c4.8% capacity growth (lower than 6.8% at the beginning of the year). The effective growth could be lower driven by higher idling of vessels and increased scrapping which could remove c3% of capacity this year. However, the liners still need to absorb the excess capacity from last year. Moreover, the global shipping demand growth remains fairly muted. Global container shipping demand grew only 2.4% y/y in 2015, implying a GDP multiplier of c.1x. This is the first time that it has fallen to such a low level. The average multiplier has fallen from 3.1x in 1990-99 to 2.8x in 2000-08 and 2.0x since 2010. Further, the idle ratio has also fallen with the onset of peak season. As such, we believe higher and more sustainable freight rates are more likely to come through only from 2017 at the earliest.

We view the formation of OCEAN Alliance positively for OOIL. We were concerned that the recent M&A activities could potentially marginalize OOIL (which is ranked 9th largest globally) in the longer term notwithstanding its competitive cost structure and better revenue management system. As such, OOIL's formation of OCEAN Alliance, in partnership with the other major players will significantly enhance its global network and further improve its operating efficiency.

OOIL's share price has fallen 24% in 2016 so far, vs 4% rise for the Hong Kong stock market given challenging industry fundamentals and given that OOIL is one of the easier stocks to short in the market. However, we see any share price correction as a buying opportunity for investors with a longer term investment horizon as we expect OOIL's financial performance to continue to outperform its sector peers during these challenging times of industry oversupply given its superior yield and cost management as well as the longer term benefits of being part of a stronger OCEAN Alliance. We believe the stock has already priced in the challenging sector fundamentals at 0.47x 12M forward P/B, 41% below its historical average valuation and should provide significant upside when the cycle recovers.

Key risks: Global container shipping demand growth stalls or weakens, freight rates decline, rising fuel prices and limited pass-through, prolonged industry oversupply.

Table 1: OOIL: 1H16 Results At A Glance

(US\$MM)	1H16	1H15	Y/Y Chg	2H15	H/H Chg
Container transport and logistics	2,547	3,032	-16%	2,895	-12%
Others	13	12	8%	14	-7%
Revenue	2,561	3,044	-16%	2,909	-12%
Operating costs	(2,412)	(2,613)	-8%	(2,649)	-9%
Gross profit	149	431	-65%	260	-43%
Fair value (loss)/gain from an investment property	10	10	-1%	10	0%
Other operating income	57	52	10%	60	-6%
Other operating expenses	(234)	(222)	6%	(248)	-6%
Operating profit	(19)	271	nm	82	nm
Operating profit margin	-0.7%	8.9%	-9.6ppt	2.8%	-3.6ppt
EBITDA	182	429	-58%	240	-24%
EBITDA margin	7.1%	14.1%	-7.0ppt	8.2%	-1.2ppt
EBITDAR	366	632	-42%	443	-17%
EBITDAR margin	14.3%	20.8%	-6.5ppt	15.2%	-1.0ppt
Finance costs	(40)	(30)	32%	(34)	18%
Share of profit (loss) of jointly controlled entities	3	3	27%	1	128%
Share of profit (loss) of associates	7	9	-20%	4	68%
Profit before tax	(47)	253	nm	54	nm
Taxation	(9)	(14)	-35%	(9)	0%
Net profit	(57)	239	nm	45	nm
Minority interest	-	(0)	nm	0	nm
Majority net profit	(57)	239	nm	45	nm
Core profit	(92)	202	nm	35	nm
EPS (basic and diluted)	(0.09)	0.38	nm	0.07	nm
Core EPS (basic and diluted)	(0.15)	0.32	nm	0.06	nm
DPS	-	0.10	nm	0.02	nm

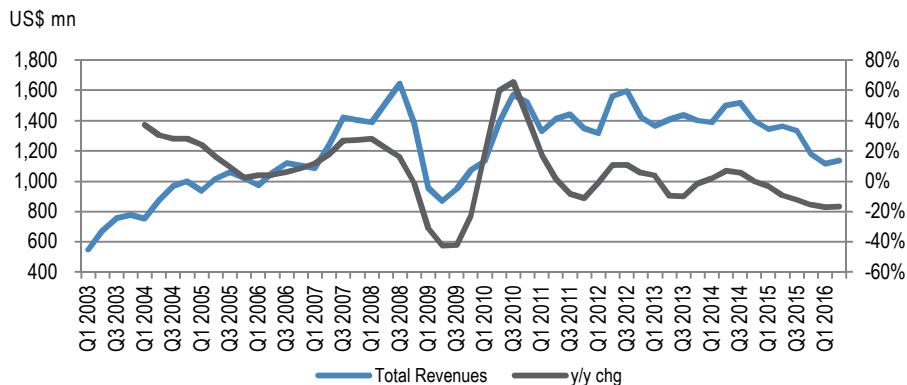
Source: Company reports.

Table 2: OOIL 2Q16 & 1H16 Operating Statistics

	2Q16	2Q15	Y/Y Chg	1Q16	Q/Q Chg	1H16	1H15	Y/Y Chg
Volumes (TEUs)								
Transpacific	375,071	324,883	15%	327,657	14%	702,728	616,307	14%
Asia-Europe	233,658	224,004	4%	213,737	9%	447,395	464,335	-4%
Intra-Asia/Australasia	810,277	780,851	4%	735,835	10%	1,546,112	1,479,874	4%
Transatlantic	97,030	92,670	5%	96,943	0%	193,973	180,175	8%
Total	1,516,036	1,422,408	7%	1,374,172	10%	2,890,208	2,740,691	5%
Average rates (US\$/TEU)								
Transpacific	1,074	1,511	-29%	1,223	-12%	1,143	1,540	-26%
Asia-Europe	761	980	-22%	825	-8%	792	1,069	-26%
Intra-Asia/Australasia	527	644	-18%	549	-4%	537	659	-18%
Transatlantic	1,324	1,612	-18%	1,373	-4%	1,348	1,588	-15%
Average	749	958	-22%	811	-8%	778	987	-21%
Revenues (US\$'000s)								
Transpacific	402,681	490,897	-18%	400,644	1%	803,325	948,897	-15%
Asia-Europe	177,826	219,475	-19%	176,335	1%	354,161	496,317	-29%
Intra-Asia/Australasia	427,072	502,682	-15%	403,770	6%	830,842	974,536	-15%
Transatlantic	128,425	149,373	-14%	133,079	-3%	261,504	286,052	-9%
Total	1,136,004	1,362,427	-17%	1,113,828	2%	2,249,832	2,705,802	-17%
Revenue contribution (%)								
Transpacific	35%	36%	-0.6ppt	36%	-0.5ppt	36%	35%	0.6ppt
Asia-Europe	16%	16%	-0.5ppt	16%	-0.2ppt	16%	18%	-2.6ppt
Intra-Asia/Australasia	38%	37%	0.7ppt	36%	1.3ppt	37%	36%	0.9ppt
Transatlantic	11%	11%	0.3ppt	12%	-0.6ppt	12%	11%	1.1ppt
Total	100%	100%		100%		100%	100%	

Source: Company reports.

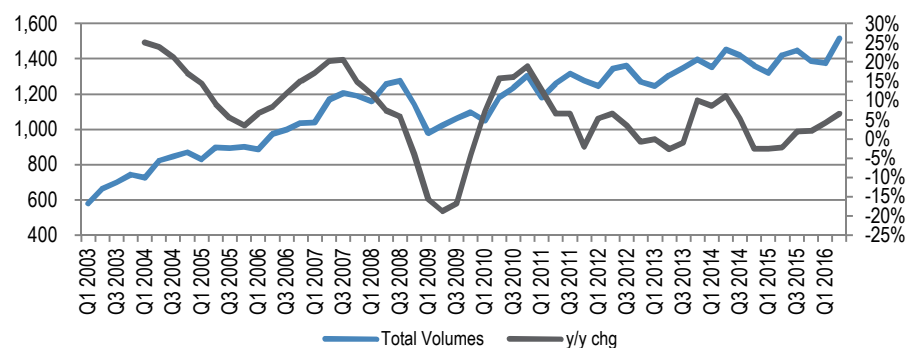
Figure 1: OOIL – Quarterly Revenues & Y/Y chg



Source: Company reports.

Figure 2: OOIL – Quarterly Volumes & Y/Y chg

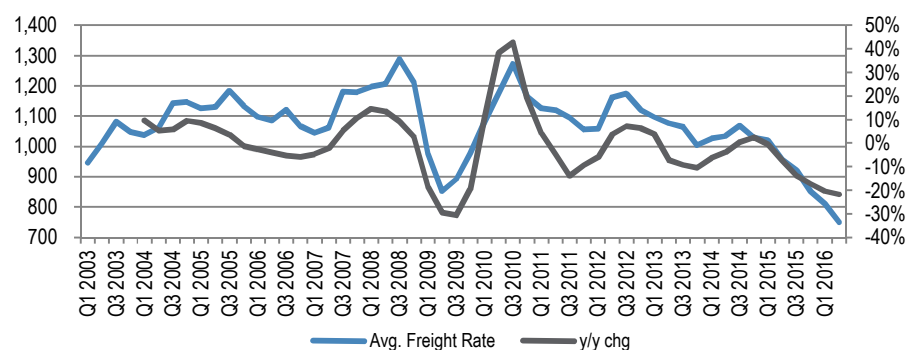
'000 TEUs



Source: Company reports.

Figure 3: OOIL – Average Freight Rate & Y/Y chg

US\$/TEU



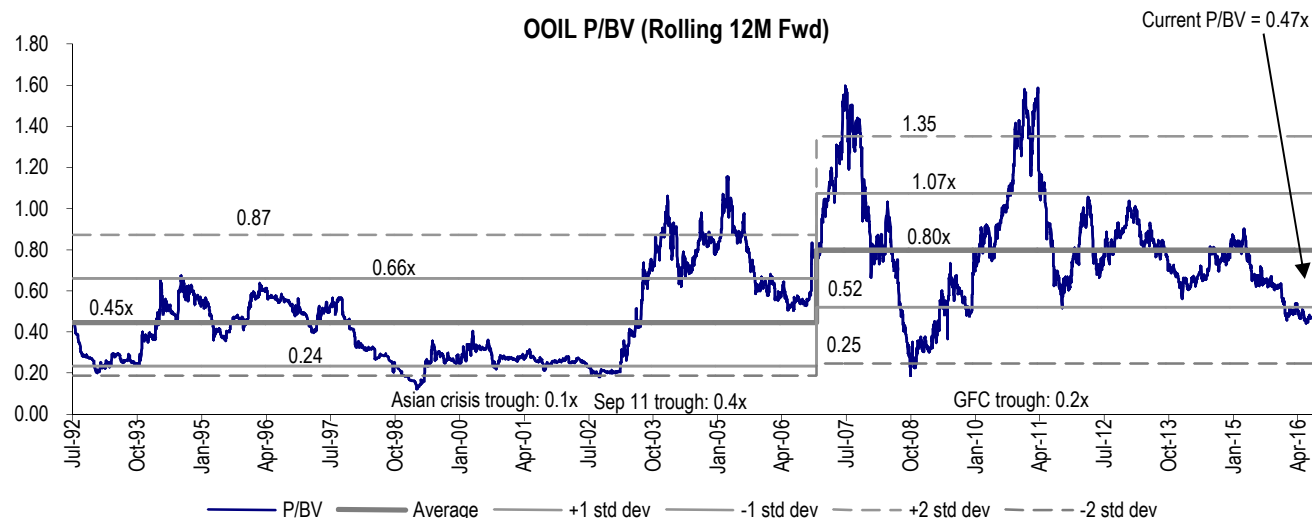
Source: Company reports.

Table 3: Orient Overseas: Earnings Estimate Revisions

Year to Dec	Old			New			% chg		
	2016E	2017E	2018E	2016E	2017E	2018E	2016E	2017E	2018E
Net profit (US\$MM)	217	229	320	(39)	111	232	nm	-51%	-28%
EPS (US cents)	35	37	51	(6)	18	37	nm	-51%	-28%

Source: J.P. Morgan estimates.

Figure 4: P/BV Trading Range Since Listing



Source: Company data, Bloomberg, J.P. Morgan estimates.

Investment Thesis, Valuation and Risks

Orient Overseas Int'l Ltd (Overweight; Price Target: HK\$32.00)

Investment Thesis

OOIL's financial performance is expected to continue to outperform its sector peers' during these challenging times of industry oversupply, given its superior yield and cost management, as well as the longer-term benefits of being part of a stronger OCEAN Alliance. We believe the stock has already priced in the challenging sector fundamentals and should provide significant upside when the cycle recovers.

Valuation

Our Jun-17 price target of HK\$32 is based on 0.5x P/B, 35% below OOIL's historical average valuation as the industry fundamentals remain challenging.

Risks to Rating and Price Target

Downside risks include: industry loses capacity discipline, global container shipping demand weakens further, freight rates decline, sharp rise in fuel prices and limited pass-through, prolonged industry oversupply.

Orient Overseas Int'l Ltd: Summary of Financials

Income Statement						Cash flow statement					
\$ in millions, year end Dec	FY14	FY15	FY16E	FY17E	FY18E	\$ in millions, year end Dec	FY14	FY15	FY16E	FY17E	FY18E
Revenues	6,522	5,953	5,188	5,801	6,468	EBIT	329	353	31	194	337
% change Y/Y	4.7%	(8.7%)	(12.9%)	11.8%	11.5%	Depr. & amortization	332	320	400	435	460
EBITDA	661	673	431	629	798	Change in working capital	34	(62)	23	(4)	2
% change Y/Y	64.5%	1.7%	(35.9%)	46.0%	26.8%	Taxes	-	-	-	-	-
EBIT	329	353	31	194	337	Cash flow from operations	479	458	366	524	676
% change Y/Y	264.4%	7.3%	(91.2%)	522.3%	73.7%	Capex	(361)	(366)	(1,027)	(1,327)	(377)
EBIT Margin	5.0%	5.9%	0.6%	3.3%	5.2%	Disposal/(purchase)	177	133	0	0	0
Net Interest	(54)	(64)	(79)	(95)	(111)	Net Interest	(54)	(64)	(79)	(95)	(111)
Earnings before tax	295	307	(30)	117	244	Other	0	(41)	0	0	0
% change Y/Y	339.7%	4.3%	NM	NM	108.6%	Free cash flow	295	184	(662)	(803)	299
Tax	(24)	(23)	(9)	(6)	(12)	Equity raised/(repaid)	-	-	-	-	-
as % of EBT	8.2%	7.6%	(30.0%)	5.0%	5.0%	Debt raised/(repaid)	451	117	300	1,300	300
Net income (reported)	271	284	(39)	111	232	Other	(434)	(370)	0	0	0
% change Y/Y	475.2%	4.9%	NM	NM	108.6%	Dividends paid	(59)	(82)	(36)	(14)	(43)
Shares outstanding	626	626	626	626	626	Beginning cash	1,912	2,166	2,016	1,618	2,101
EPS (reported)	0.43	0.45	(0.06)	0.18	0.37	Ending cash	2,166	2,016	1,618	2,101	2,656
% change Y/Y	475.2%	4.9%	NM	NM	108.6%	DPS	0.11	0.11	0.00	0.04	0.09
Balance sheet						Ratio Analysis					
\$ in millions, year end Dec	FY14	FY15	FY16E	FY17E	FY18E	\$ in millions, year end Dec	FY14	FY15	FY16E	FY17E	FY18E
Cash and cash equivalents	2,166	2,016	1,618	2,101	2,656	EBITDA margin	10.1%	11.3%	8.3%	10.8%	12.3%
Accounts receivable	588	513	447	500	558	Operating margin	5.0%	5.9%	0.6%	3.3%	5.2%
Inventories	129	72	63	71	79	Net margin	4.1%	4.8%	(0.7%)	1.9%	3.6%
Others	78	20	20	20	20	Sales per share growth	4.7%	(8.7%)	(12.9%)	11.8%	11.5%
Current assets	3,184	2,917	2,444	2,987	3,608	Sales growth	4.7%	(8.7%)	(12.9%)	11.8%	11.5%
LT investments	180	200	200	200	200	Net profit growth	475.2%	4.9%	NM	NM	108.6%
Net fixed assets	5,609	6,021	6,648	7,540	7,457	EPS growth	475.2%	4.9%	NM	NM	108.6%
Total Assets	9,633	9,732	9,905	11,358	11,915	Interest coverage (x)	12.2	10.6	5.4	6.6	7.2
Liabilities						Net debt to equity	39.2%	43.5%	58.9%	74.7%	66.8%
Short-term loans	389	439	739	1,039	1,339	Sales/assets	0.7	0.6	0.5	0.5	0.6
Payables	943	750	698	754	822	Assets/equity	204.5%	205.3%	206.3%	222.8%	236.8%
Others	13	20	20	20	20	ROE	5.9%	6.0%	(0.8%)	2.3%	4.7%
Total current liabilities	1,345	1,209	1,456	1,813	2,180	ROCE	3.6%	3.7%	0.4%	1.9%	3.0%
Long-term debt	3,596	3,663	3,663	4,663	4,663						
Other liabilities	58	62	62	62	62						
Total Liabilities	4,999	4,934	5,182	6,538	6,906						
Shareholder's equity	4,635	4,798	4,723	4,820	5,009						
BVPS (\$)	7.41	7.67	7.55	7.70	8.00						

Source: Company reports and J.P. Morgan estimates.

JPM Q-Profile

Orient Overseas (International) Limited (HONG KONG / Industrials)

As Of: 04-Aug-2016

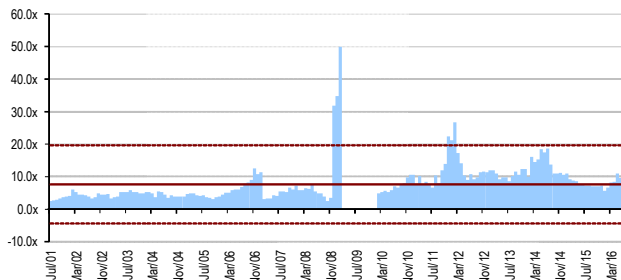
Local Share Price

Current: 27.80



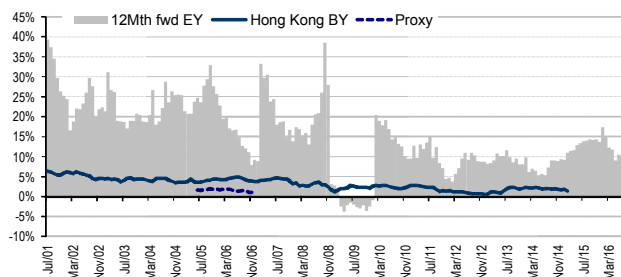
PE (1Yr Forward)

Current: 10.8x



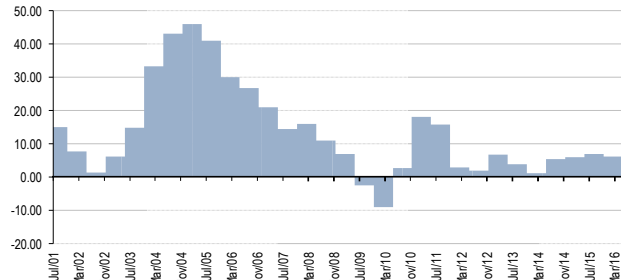
Earnings Yield (& Local Bond Yield)

Current: 9.28%



ROE (Trailing)

Current: 6.02

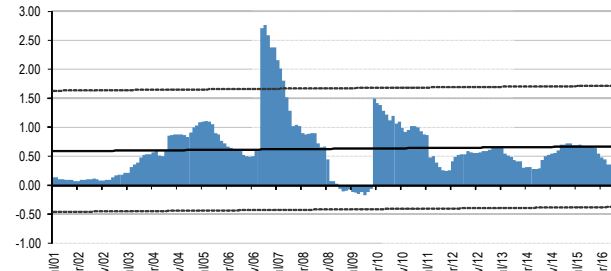


Global Equity Quantitative Analysis

Quant_Strategy@jpmorgan.com

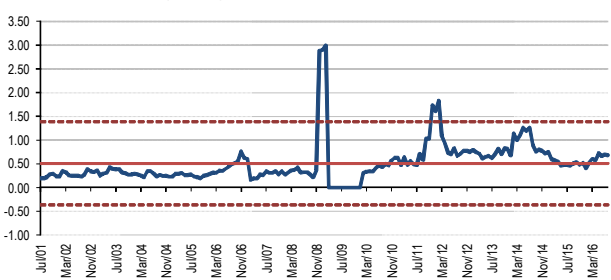
12 Mth Forward EPS

Current: 0.33



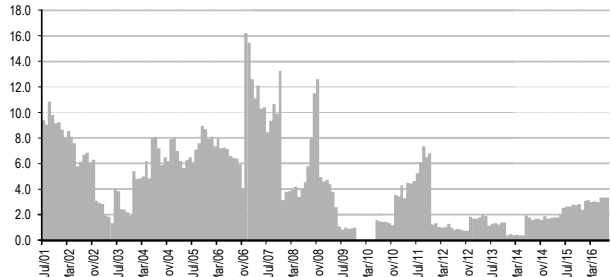
P/E Relative to Hong Kong Index

Current: 0.68



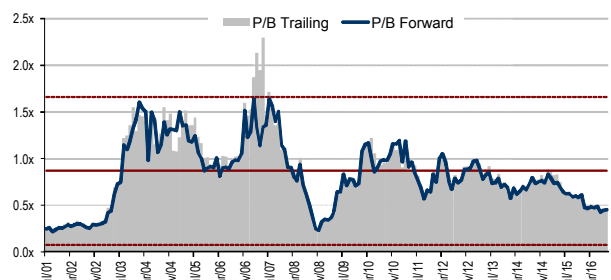
Dividend Yield (Trailing)

Current: 3.37



Price/Book (Value)

Current: 0.5x



Summary

Orient Overseas (International) Limited

HONG KONG

Industrials

TICKER 316 HK

As Of: 04-Aug-16

Local Price: 27.80

EPS: 0.33

	Latest	Min	Max	Median	Average	2 S.D. +	2 S.D. -	% to Min	% to Max	% to Med	% to Avg
12mth Forward PE	10.77x	0.00	50.00	5.99	7.62	19.64	-4.40	-100%	364%	-44%	-29%
P/BV (Trailing)	0.47x	0.23	2.30	0.83	0.87	1.66	0.07	-51%	392%	78%	86%
Dividend Yield (Trailing)	3.37	0.00	16.18	3.68	4.47	11.29	-2.35	-100%	380%	9%	33%
ROE (Trailing)	6.02	-9.07	45.92	6.96	13.21	40.42	-14.00	-251%	663%	16%	119%

Source: Bloomberg, Reuters Global Fundamentals, IBES CONSENSUS, JPMorgan Quantitative & Derivative Strategy

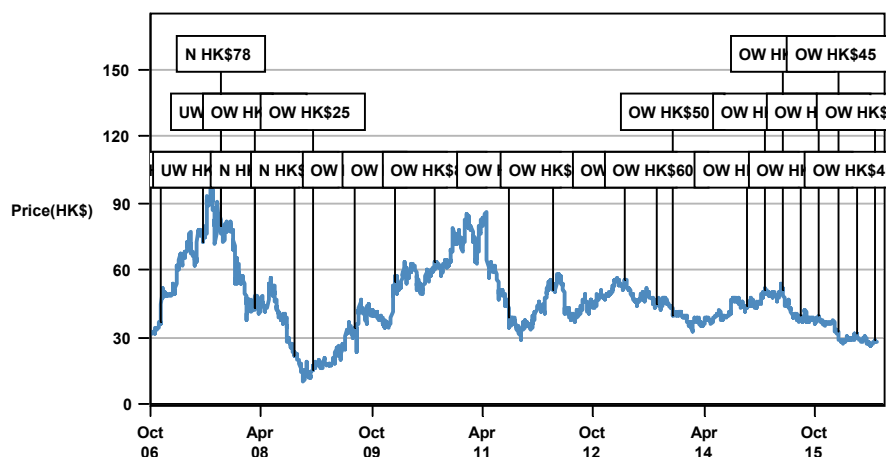
Analyst Certification: The research analyst(s) denoted by an “AC” on the cover of this report certifies (or, where multiple research analysts are primarily responsible for this report, the research analyst denoted by an “AC” on the cover or within the document individually certifies, with respect to each security or issuer that the research analyst covers in this research) that: (1) all of the views expressed in this report accurately reflect his or her personal views about any and all of the subject securities or issuers; and (2) no part of any of the research analyst's compensation was, is, or will be directly or indirectly related to the specific recommendations or views expressed by the research analyst(s) in this report. For all Korea-based research analysts listed on the front cover, they also certify, as per KOFIA requirements, that their analysis was made in good faith and that the views reflect their own opinion, without undue influence or intervention.

Important Disclosures

- **Market Maker/ Liquidity Provider:** J.P. Morgan Securities plc and/or an affiliate is a market maker and/or liquidity provider in securities issued by Orient Overseas Int'l Ltd.
- **Client:** J.P. Morgan currently has, or had within the past 12 months, the following entity(ies) as clients: Orient Overseas Int'l Ltd.
- **Client/Non-Investment Banking, Securities-Related:** J.P. Morgan currently has, or had within the past 12 months, the following entity(ies) as clients, and the services provided were non-investment-banking, securities-related: Orient Overseas Int'l Ltd.
- **Non-Investment Banking Compensation:** J.P. Morgan has received compensation in the past 12 months for products or services other than investment banking from Orient Overseas Int'l Ltd.
- **Other Significant Financial Interests:** J.P. Morgan owns a position of 1 million USD or more in the debt securities of Orient Overseas Int'l Ltd.

Company-Specific Disclosures: Important disclosures, including price charts and credit opinion history tables, are available for compendium reports and all J.P. Morgan-covered companies by visiting <https://jpmm.com/research/disclosures>, calling 1-800-477-0406, or e-mailing research.disclosure.inquiries@jpmorgan.com with your request. J.P. Morgan's Strategy, Technical, and Quantitative Research teams may screen companies not covered by J.P. Morgan. For important disclosures for these companies, please call 1-800-477-0406 or e-mail research.disclosure.inquiries@jpmorgan.com.

Orient Overseas Int'l Ltd (0316.HK, 316 HK) Price Chart



Source: Bloomberg and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Nov 24, 2006.

Date	Rating	Share Price (HK\$)	Price Target (HK\$)
24-Nov-06	OW	36.95	50.00
13-Jun-07	UW	73.10	65.00
12-Sep-07	UW	79.95	84.00
14-Sep-07	N	79.95	78.00
22-Feb-08	N	42.90	57.00
27-Feb-08	OW	42.75	56.00
17-Sep-08	N	21.80	25.00
13-Dec-08	OW	15.34	25.00
07-Jul-09	OW	34.30	45.00
19-Jan-10	OW	54.70	75.00
05-Aug-10	OW	63.65	88.00
08-Aug-11	OW	38.15	75.00
12-Mar-12	OW	51.40	65.00
06-Mar-13	OW	55.90	70.00
08-Aug-13	OW	45.25	60.00
25-Oct-13	OW	39.70	50.00
24-Oct-14	OW	44.05	51.00
30-Jan-15	OW	50.90	60.00
24-Apr-15	OW	50.95	62.00
24-Jul-15	OW	39.65	61.00
23-Oct-15	OW	39.40	50.00
22-Jan-16	OW	32.05	45.00
22-Apr-16	OW	31.35	41.00
22-Jul-16	OW	28.65	35.00

The chart(s) show J.P. Morgan's continuing coverage of the stocks; the current analysts may or may not have covered it over the entire period.

J.P. Morgan ratings or designations: OW = Overweight, N= Neutral, UW = Underweight, NR = Not Rated

Explanation of Equity Research Ratings, Designations and Analyst(s) Coverage Universe:

J.P. Morgan uses the following rating system: Overweight [Over the next six to twelve months, we expect this stock will outperform the average total return of the stocks in the analyst's (or the analyst's team's) coverage universe.] Neutral [Over the next six to twelve months, we expect this stock will perform in line with the average total return of the stocks in the analyst's (or the analyst's team's) coverage universe.] Underweight [Over the next six to twelve months, we expect this stock will underperform the average total return of the stocks in the analyst's (or the analyst's team's) coverage universe.] Not Rated (NR): J.P. Morgan has removed the rating and, if applicable, the price target, for this stock because of either a lack of a sufficient fundamental basis or for legal, regulatory or policy reasons. The previous rating and, if applicable, the price target, no longer should be relied upon. An NR designation is not a recommendation or a rating. In our Asia (ex-Australia) and U.K. small- and mid-cap equity research, each stock's expected total return is compared to the expected total return of a benchmark country market index, not to those analysts' coverage universe. If it does not appear in the Important Disclosures section of this report, the certifying analyst's coverage universe can be found on J.P. Morgan's research website, www.jpmorganmarkets.com.

Coverage Universe: Png, Corrine: Air China - A (601111.SS), Air China - H (0753.HK), AirAsia BHD (AIRA.KL), Cathay Pacific (0293.HK), Cebu Air, Inc. (CEB.PS), China Airlines (2610.TW), China Cosco Holdings - A (601919.SS), China Cosco Holdings - H (1919.HK), China Eastern Airlines - A (600115.SS), China Eastern Airlines - H (0670.HK), China Shipping Container Lines - A (601866.SS), China Shipping Container Lines - H (2866.HK), China Southern Airlines - A (600029.SS), China Southern Airlines - H (1055.HK), EVA Airways (2618.TW), Kerry Logistics Network (0636.HK), Korean Air (003490.KS), Neptune Orient Lines (NOL) (NEPS.SI), Orient Overseas Int'l Ltd (0316.HK), Pacific Basin Shipping (2343.HK), SIA Engineering Company (SIAE.SI), ST Engineering (STEG.SI), Singapore Airlines (SIAL.SI)

J.P. Morgan Equity Research Ratings Distribution, as of July 1, 2016

	Overweight (buy)	Neutral (hold)	Underweight (sell)
J.P. Morgan Global Equity Research Coverage	43%	45%	12%
IB clients*	52%	49%	37%
JPMS Equity Research Coverage	42%	50%	8%
IB clients*	68%	65%	51%

*Percentage of investment banking clients in each rating category.

For purposes only of FINRA/NYSE ratings distribution rules, our Overweight rating falls into a buy rating category; our Neutral rating falls into a hold rating category; and our Underweight rating falls into a sell rating category. Please note that stocks with an NR designation are not included in the table above.

Equity Valuation and Risks: For valuation methodology and risks associated with covered companies or price targets for covered companies, please see the most recent company-specific research report at <http://www.jpmorganmarkets.com>, contact the primary analyst or your J.P. Morgan representative, or email research.disclosure.inquiries@jpmorgan.com.

Equity Analysts' Compensation: The equity research analysts responsible for the preparation of this report receive compensation based upon various factors, including the quality and accuracy of research, client feedback, competitive factors, and overall firm revenues.

Registration of non-US Analysts: Unless otherwise noted, the non-US analysts listed on the front of this report are employees of non-US affiliates of JPMS, are not registered/qualified as research analysts under NASD/NYSE rules, may not be associated persons of JPMS, and may not be subject to FINRA Rule 2711 and NYSE Rule 472 restrictions on communications with covered companies, public appearances, and trading securities held by a research analyst account.

Other Disclosures

J.P. Morgan ("JPM") is the global brand name for J.P. Morgan Securities LLC ("JPMS") and its affiliates worldwide. J.P. Morgan Cazenove is a marketing name for the U.K. investment banking businesses and EMEA cash equities and equity research businesses of JPMorgan Chase & Co. and its subsidiaries.

All research reports made available to clients are simultaneously available on our client website, J.P. Morgan Markets. Not all research content is redistributed, e-mailed or made available to third-party aggregators. For all research reports available on a particular stock, please contact your sales representative.

Options related research: If the information contained herein regards options related research, such information is available only to persons who have received the proper option risk disclosure documents. For a copy of the Option Clearing Corporation's Characteristics and Risks of Standardized Options, please contact your J.P. Morgan Representative or visit the OCC's website at <http://www.optionsclearing.com/publications/risks/riskstoc.pdf>

Legal Entities Disclosures

U.S.: JPMS is a member of NYSE, FINRA, SIPC and the NFA. JPMorgan Chase Bank, N.A. is a member of FDIC. **U.K.:** JPMorgan Chase N.A., London Branch, is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and to limited regulation by the Prudential Regulation Authority. Details about the extent of our regulation by the Prudential Regulation Authority are available from J.P. Morgan on request. J.P. Morgan Securities plc (JPMS plc) is a member of the London Stock Exchange and is authorised by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and the Prudential Regulation Authority. Registered in England & Wales No. 2711006. Registered Office 25 Bank Street, London, E14 5JP. **South Africa:** J.P. Morgan Equities South Africa Proprietary Limited is a member of the Johannesburg Securities Exchange and is regulated by the Financial Services Board. **Hong Kong:** J.P. Morgan Securities (Asia Pacific) Limited (CE number AAJ321) is regulated by the Hong Kong Monetary Authority and the Securities and Futures Commission in Hong Kong and/or J.P. Morgan Broking (Hong Kong) Limited (CE number AAB027) is regulated by the Securities and Futures Commission in Hong Kong. **Korea:** This material is issued and distributed in Korea by or through J.P. Morgan Securities (Far East) Limited, Seoul Branch, which is a member of the Korea Exchange (KRX) and is regulated by the Financial Services Commission (FSC) and the Financial Supervisory Service (FSS). **Australia:** J.P. Morgan Australia Limited (JPMAL) (ABN 52 002 888 011/AFS Licence No: 238188) is regulated by ASIC and J.P. Morgan Securities Australia Limited (JPMSAL) (ABN 61 003 245 234/AFS Licence No: 238066) is regulated by ASIC and is a Market, Clearing and Settlement Participant of ASX Limited and CHI-X. **Taiwan:** J.P. Morgan Securities (Taiwan) Limited is a participant of the Taiwan Stock Exchange (company-type) and regulated by the Taiwan Securities and Futures Bureau. **India:** J.P. Morgan India Private Limited (Corporate Identity Number - U67120MH1992FTC068724), having its registered office at J.P. Morgan Tower, Off. C.S.T. Road, Kalina, Santacruz - East, Mumbai - 400098, is registered with Securities and Exchange Board of India (SEBI) as a 'Research Analyst' having registration number INH000001873. J.P. Morgan India Private Limited is also registered with SEBI as a member of the National Stock Exchange of India Limited (SEBI Registration Number - INB 230675231/INF 230675231/INE 230675231) and Bombay Stock Exchange Limited (SEBI Registration Number - INB 010675237/INF 010675237). Telephone: 91-22-6157 3000, Facsimile: 91-22-6157 3990 and Website: www.jpmpil.com. For non local research reports, this material is not distributed in India by J.P. Morgan India Private Limited. **Thailand:** This material is issued and distributed in Thailand by JPMorgan Securities (Thailand) Ltd., which is a member of the Stock Exchange of Thailand and is regulated by the Ministry of Finance and the Securities and Exchange Commission and its registered address is 3rd Floor, 20 North Sathorn Road, Silom, Bangkok, Bangkok 10500. **Indonesia:** PT J.P. Morgan Securities Indonesia is a member of the Indonesia Stock Exchange and is regulated by the OJK a.k.a. BAPEPAM LK. **Philippines:** J.P. Morgan Securities Philippines Inc. is a Trading Participant of the Philippine Stock Exchange and a member of the Securities Clearing Corporation of the Philippines and the Securities Investor Protection Fund. It is regulated by the Securities and Exchange Commission. **Brazil:** Banco J.P. Morgan S.A. is regulated by the Comissão de Valores Mobiliários (CVM) and by the Central Bank of Brazil. **Mexico:** J.P. Morgan Casa de Bolsa, S.A. de C.V., J.P. Morgan Grupo Financiero is a member of the Mexican Stock Exchange and authorized to act as a broker dealer by the National Banking and Securities Exchange Commission. **Singapore:** This material is issued and distributed in Singapore by or through J.P. Morgan Securities Singapore Private Limited (JPMSS) [MCI (P) 193/03/2016 and Co. Reg. No.: 199405335R], which is a member of the Singapore Exchange Securities Trading Limited and/or JPMorgan Chase Bank, N.A., Singapore branch (JPMCB Singapore), both of which are regulated by the Monetary Authority of Singapore. This material is issued and distributed in Singapore only to accredited investors, expert investors and institutional investors, as defined in Section 4A of the Securities and Futures Act, Cap. 289 (SFA). This material is not intended to be issued or distributed to any retail investors or any other investors that do not fall into the classes of "accredited investors," "expert investors" or "institutional investors," as defined under Section 4A of the SFA. Recipients of this document are to contact JPMSS or JPMCB Singapore in respect of any matters arising from, or in connection with, the document. **Japan:** JPMorgan Securities Japan Co., Ltd. and JPMorgan Chase Bank, N.A., Tokyo Branch are regulated by the Financial Services Agency in Japan. **Malaysia:** This material is issued and distributed in Malaysia by JPMorgan Securities (Malaysia) Sdn Bhd (18146-X) which is a Participating Organization of Bursa Malaysia Berhad and a holder of Capital Markets Services License issued by the Securities Commission in Malaysia. **Pakistan:** J. P. Morgan Pakistan Broking (Pvt.) Ltd is a member of the Karachi Stock Exchange and regulated by the Securities and Exchange Commission of Pakistan. **Saudi Arabia:** J.P. Morgan Saudi Arabia Ltd. is authorized by the Capital Market Authority of the Kingdom of Saudi Arabia (CMA) to carry out dealing as an agent, arranging, advising and custody, with respect to securities business under licence number 35-07079 and its registered address is at 8th Floor, Al-Faisaliyah Tower, King Fahad Road, P.O. Box 51907, Riyadh 11553, Kingdom of Saudi Arabia. **Dubai:** JPMorgan Chase Bank, N.A., Dubai Branch is regulated by the Dubai Financial Services Authority (DFSA) and its registered address is Dubai International Financial Centre - Building 3, Level 7, PO Box 506551, Dubai, UAE.

Country and Region Specific Disclosures

U.K. and European Economic Area (EEA): Unless specified to the contrary, issued and approved for distribution in the U.K. and the EEA by JPMS plc. Investment research issued by JPMS plc has been prepared in accordance with JPMS plc's policies for managing conflicts of interest arising as a result of publication and distribution of investment research. Many European regulators require a firm to establish, implement and maintain such a policy. Further information about J.P. Morgan's conflict of interest policy and a description of the effective internal organisations and administrative arrangements set up for the prevention and avoidance of conflicts of interest is set out at the following link <https://www.jpmpil.com/jpmpdf/1320678075935.pdf>. This report has been issued in the U.K. only to persons of a kind described in Article 19 (5), 38, 47 and 49 of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (all such persons being referred to as "relevant persons"). This document must not be acted on or relied on by persons who are not relevant persons. Any investment or investment activity to which this document relates is only available to relevant persons and will be engaged in only with relevant persons. In other EEA countries, the report has been issued to persons regarded as professional investors (or equivalent) in their home jurisdiction. **Australia:** This material is issued and distributed by JPMSAL in Australia to "wholesale clients" only. This material does not take into account the specific investment objectives, financial situation or particular needs of the recipient. The recipient of this material must not distribute it to any third party or outside Australia without the prior written consent of JPMSAL. For the purposes of this paragraph the term "wholesale client" has the meaning given in section 761G of the Corporations Act 2001. **Germany:** This material is distributed in Germany by J.P. Morgan Securities plc, Frankfurt Branch and J.P. Morgan Chase Bank, N.A., Frankfurt Branch which are regulated by the Bundesanstalt für Finanzdienstleistungsaufsicht. **Hong Kong:** The 1% ownership disclosure as of the previous month end satisfies the requirements under Paragraph 16.5(a) of the Hong Kong Code of Conduct for Persons Licensed by or Registered with the Securities and Futures Commission. (For research published within the first ten days of the month, the disclosure may be based on the month end data from two months prior.) J.P. Morgan Broking (Hong Kong) Limited is the liquidity provider/market maker for derivative warrants, callable bull bear contracts and stock options listed on the Stock Exchange of Hong Kong Limited. An updated list can be found on HKEx website: <http://www.hkex.com.hk>. **Japan:** There is a risk that a loss may occur due to a change in the price of the shares in the case of share trading, and that a loss may occur due to the exchange rate in the case of foreign share trading. In the case of share trading, JPMorgan Securities Japan Co., Ltd., will be receiving a brokerage fee and consumption tax (shouhizei) calculated by multiplying the executed price by the commission rate which was individually agreed between JPMorgan Securities Japan Co., Ltd., and the customer in advance. Financial Instruments Firms: JPMorgan Securities Japan Co., Ltd., Kanto Local Finance Bureau (kinsho) No. 82 Participating Association / Japan Securities Dealers Association, The Financial Futures Association of Japan,

Type II Financial Instruments Firms Association and Japan Investment Advisers Association. **Korea:** This report may have been edited or contributed to from time to time by affiliates of J.P. Morgan Securities (Far East) Limited, Seoul Branch. **Singapore:** As at the date of this report, JPMSS is a designated market maker for certain structured warrants listed on the Singapore Exchange where the underlying securities may be the securities discussed in this report. Arising from its role as designated market maker for such structured warrants, JPMSS may conduct hedging activities in respect of such underlying securities and hold or have an interest in such underlying securities as a result. The updated list of structured warrants for which JPMSS acts as designated market maker may be found on the website of the Singapore Exchange Limited: <http://www.sgx.com.sg>. In addition, JPMSS and/or its affiliates may also have an interest or holding in any of the securities discussed in this report – please see the Important Disclosures section above. For securities where the holding is 1% or greater, the holding may be found in the Important Disclosures section above. For all other securities mentioned in this report, JPMSS and/or its affiliates may have a holding of less than 1% in such securities and may trade them in ways different from those discussed in this report. Employees of JPMSS and/or its affiliates not involved in the preparation of this report may have investments in the securities (or derivatives of such securities) mentioned in this report and may trade them in ways different from those discussed in this report. **Taiwan:** This material is issued and distributed in Taiwan by J.P. Morgan Securities (Taiwan) Limited. **India:** For private circulation only, not for sale. **Pakistan:** For private circulation only, not for sale. **New Zealand:** This material is issued and distributed by JPMSAL in New Zealand only to persons whose principal business is the investment of money or who, in the course of and for the purposes of their business, habitually invest money. JPMSAL does not issue or distribute this material to members of "the public" as determined in accordance with section 3 of the Securities Act 1978. The recipient of this material must not distribute it to any third party or outside New Zealand without the prior written consent of JPMSAL. **Canada:** The information contained herein is not, and under no circumstances is to be construed as, a prospectus, an advertisement, a public offering, an offer to sell securities described herein, or solicitation of an offer to buy securities described herein, in Canada or any province or territory thereof. Any offer or sale of the securities described herein in Canada will be made only under an exemption from the requirements to file a prospectus with the relevant Canadian securities regulators and only by a dealer properly registered under applicable securities laws or, alternatively, pursuant to an exemption from the dealer registration requirement in the relevant province or territory of Canada in which such offer or sale is made. The information contained herein is under no circumstances to be construed as investment advice in any province or territory of Canada and is not tailored to the needs of the recipient. To the extent that the information contained herein references securities of an issuer incorporated, formed or created under the laws of Canada or a province or territory of Canada, any trades in such securities must be conducted through a dealer registered in Canada. No securities commission or similar regulatory authority in Canada has reviewed or in any way passed judgment upon these materials, the information contained herein or the merits of the securities described herein, and any representation to the contrary is an offence. **Dubai:** This report has been issued to persons regarded as professional clients as defined under the DFSA rules. **Brazil:** Ombudsman J.P. Morgan: 0800-7700847 / ouvidoria.jp.morgan@jpmorgan.com.

General: Additional information is available upon request. Information has been obtained from sources believed to be reliable but JPMorgan Chase & Co. or its affiliates and/or subsidiaries (collectively J.P. Morgan) do not warrant its completeness or accuracy except with respect to any disclosures relative to JPMS and/or its affiliates and the analyst's involvement with the issuer that is the subject of the research. All pricing is indicative as of the close of market for the securities discussed, unless otherwise stated. Opinions and estimates constitute our judgment as of the date of this material and are subject to change without notice. Past performance is not indicative of future results. This material is not intended as an offer or solicitation for the purchase or sale of any financial instrument. The opinions and recommendations herein do not take into account individual client circumstances, objectives, or needs and are not intended as recommendations of particular securities, financial instruments or strategies to particular clients. The recipient of this report must make its own independent decisions regarding any securities or financial instruments mentioned herein. JPMS distributes in the U.S. research published by non-U.S. affiliates and accepts responsibility for its contents. Periodic updates may be provided on companies/industries based on company specific developments or announcements, market conditions or any other publicly available information. Clients should contact analysts and execute transactions through a J.P. Morgan subsidiary or affiliate in their home jurisdiction unless governing law permits otherwise.

"Other Disclosures" last revised July 9, 2016.

Copyright 2016 JPMorgan Chase & Co. All rights reserved. This report or any portion hereof may not be reprinted, sold or redistributed without the written consent of J.P. Morgan.